year the company joined hands with UK-based energy major British Petroleum in its bid to take over the 2184 MW Dabhol Power Company. Tata Power also entered yet another ‘Public Private partnership with Power Grid Corporation of India Ltd’, to establish and ‘develop a 1200 km long transmission line to bring electricity from Bhutan to Delhi’.

The company also subscribed to a 10 per cent stake in the state-owned Power Trading Corporation (PTC) for Rs 10 crore, to have a presence in the power trading business in order to strengthen its position for its future plans of ‘setting up a generating capacity at the coal pitheads’ in Chhattisgarh and Jharkhand and wheel it to their centres at New Delhi and Mumbai.

In an effort to expand its operations beyond Maharashtra, Tata Power acquired the Duncans North Hydro Power Company Limited in 2003 and started work on the 330 MW run of the river hydro project in Uttaranchal. In keeping with Ratan’s conviction about the inadvisability of companies engaging in non-core businesses and in order to focus on the new opportunities in the power and energy sector, the company reduced its stake in Tata Teleservices from 49 to 34 per cent.

In 2004, when the government encouraged the private sector to join the energy sector with the implementation of the Electricity Act, Tata Power was early in getting off the block. It floated a wholly owned subsidiary for the power trading business. The new entity, known as the Tata Power Trading Company Limited, became the first private sector trading company of India of its kind. It enabled sales to distributers and consumers for a controlled trading margin.

Eyeing Megaprojects

In 2005, Ratan announced the company’s plans to invest Rs 30,000 crore in establishing power projects in India in the next three to five years. He also revealed his overseas vision, stating that he planned to establish a 1,000 MW gas-based thermal plant in Bangladesh and a 500 MW plant in South Africa. Ratan wanted the company to aim at acquiring famous global brands as well. In 2005, Tata Power made a bold bid ‘for the €884 million Austrian Va Tech Hydro, one of the world’s largest suppliers of electro-mechanical equipment and services (water-to-wire) for hydropower plants’. Though it lost out, the attempt revealed a new-found direction that it could emphatically pursue in the future.